IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/499 & 528/CAA/2019

In

CA/160 & 161/CAA/2019

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation

Between

M/s. CDM SMITH GLOBAL SERVICES PRIVATE LIMITED

... Transferor Company

With

M/s. CDM SMITH ENGINEERING & DESIGN SERVICES INDIA PRIVATE LIMITED

... Transferee Company

And

Their respective Shareholders

Order delivered on 30th May, 2019

CORAM

CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)

For Petitioner(s) : *I.B. Harikrishna, PCS*

For OL : *K. Manivannan, Authorized Representative*

ORDER

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J):

1. Under consideration is the Company Petition No.499 & 528/CAA/2019 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. As per the Scheme of Amalgamation (in short, ***'Scheme'***), *"M/s. CDM Smith Global Services Private Limited"* (hereinafter referred to as ***'Transferor Company'***) is proposed to get merged with *"M/s. CDM Smith Engineering & Design Services India Private Limited"* (hereinafter referred to as ***'Transferee Company'***) as a going concern.

2. The Transferor Company was originally incorporated on 26.08.1993 under the Companies Act, 1956 under the name and style of "CAMP Dresser & MCKEE (India) Private Limited". Subsequently on 21.04.2017, the Company has changed its name to "CDM Global Services Private Limited". The Transferor Company is having its Registered Office at 'Bascon Futura', 2nd Floor, 56L, Venkatnarayana Road,

T. Nagar, Chennai – 600 017. The Transferee Company was incorporated on 24.10.2018 under the Companies Act, 2013. The Transferee Company is having its Registered Office at 40A, 40B, Venkatnarayana Road, T.Nagar, Chennai – 600 001.

3. The Transferor Company is carrying on the business of furnishing consulting engineering services in water resources, water supply and treatment, sewerage and sewage treatment, industrial waste treatment, etc. The details of the main objects are set out in the Memorandum of Association of the Transferor Company.

4. The Transferee Company is also carrying on the business of furnishing consulting engineering services in water resources, water supply and treatment, sewerage and sewage treatment, industrial waste treatment, etc. The details of the main objects are set out in the Memorandum of Association of the Transferee Company.

5. The Board of Directors of the Transferor Company have approved the present Scheme of Amalgamation vide its Resolution dated 04.12.2018. The other necessary requirements have also been fulfilled as per the Order dated 01.03.2019 passed by this Bench in CA/160 & 161/CAA/2019.

6. The Counsel appearing for the Petitioner Companies has submitted that the rationale and circumstances that have necessitated the present Scheme is that, amalgamation of Transferor Company with the Transferee Company would enable enhancement of net worth of the combined business to capitalize on future optimal utilization of resource and better administration and cost reduction. Further, it will help in reduction of multiplicity of legal and regulatory compliances and would facilitate greater efficiency in cash management. It is further submitted by the Counsel for the Petitioners that no winding up petitions are initiated / pending against the Transferor Company and there are no other investigation or

proceedings under the Companies Act, 2013 / 1956 have been instituted or are pending in relation to the Transferor Company before any bench of Hon'ble National Company Law Tribunal or before the Hon'ble High Courts.

7. The Regional Director, Southern Region (in short, '*RD*') in his Affidavit dated 26.03.2019 submitted that Clause 9 of Part II of the Scheme has stated that the authorized capital of the Transferor Company will be merged with the authorized capital of the Transferee Company and the Transferee Company shall not be required to pay any fee / stamp duty for its increased authorized share capital except any differential fee that may arise subject to the provisions of the Companies Act. In this connection the RD has stated in his affidavit that, since the Transferee Company has accepted the liability to pay the differential fee subject to the provisions of the Act, the Transferee Company may be directed to give an undertaking that it will comply with the provisions of Clause (i) to sub – section (3) of Section 232 of the Companies Act, 2013, in paying

the differential fees as stipulated thereunder and also made a prayer that the Company may be directed to file the amended MOA and AOA for the amendment to the Capital Clause of the Transferee Company with the ROC, Chennai.

8. In reply to the observation made by the RD in para 8 of his affidavit, the Petitioner Company has filed an affidavit in the shape of an undertaking and stated that the Transferee Company undertakes to comply with the observations by amending its MOA and AOA with respect to the Share Capital Clause and further undertakes to pay the fee, if any for the enhanced authorized capital subsequent to the amalgamation after setting off the fees paid by the Transferor Company in an appropriate manner and will file the requisite forms with the concerned Registrar of Companies.

9. Further, the RD at para 7 of his affidavit has stated that the Transferor Company is regular in filing the statutory returns and as for the Transferee Company, the

first statutory returns are not yet due as it was incorporated only on 24.10.2018. He has further submitted that no complaints / inspection / investigation or prosecution are pending against the Transferor and Transferee Companies. The RD has not raised any objection with regard to the sanction of the Scheme.

10. The Official Liquidator (In short, 'OL') in his Report dated 23.04.2019, submitted that on receiving the copy of the Order dated 01.03.2019 passed in CA/160 & 161/CAA/2019, he has appointed Shri. M. Ravi, Chartered Accountants, who is one of firm of Chartered Accountants from the panel maintained by his office, to look into the Scheme of Amalgamation, and to scrutinize the books of accounts of the Transferor Company and to file a report.

11. The Chartered Accountants submitted their report to the OL on 12.04.2019. The OL has stated that the Chartered Accountant have examined the books of accounts, records, registers, etc., of the Transferor

Company and found that the Transferor Company is maintaining proper books of accounts and statutory records as per requirements of the Companies Act, 2013. Further, it was observed that all the entries made in the Statutory Registers are in accordance with the requirements of the Companies Act, 2013.

12. The OL has observed that the Chartered Accounts have examined the documents and records available with the Transferor Company and as per the audited accounts, no undisputed amounts are payable on account of income tax, sales tax, service tax and other statutory dues with the appropriate authorities. Further as per the accounts of the Company as on 31st March 2018 there are no dues of sales tax, service tax, duty of customs, duty of exercise, value added tax, goods and service tax.

13. The Chartered Accountant has observed that the Transferor Company has filed all the required returns with the Registrar of Companies and no cases were pending

against the Company or any of its Directors / Officers and no prosecution has been launched under any of the sections of the Companies Act against the Company or any of its Directors. Further the Company has not accepted any deposits from public, hence the provisions of Section 73 and 74 of the Companies Act, 2013 are not applicable to the Company.

14. The OL has stated that the Chartered Accountant have examined the books of accounts, records, registers, etc., of the Transferor Company and it has concluded that the business of the Transferor Company has not been carried on with intent to defraud the creditors, or any other person or for any fraudulent purpose attracting the provisions of Section 339 and 340 of the Companies Act, 2013 and neither has any person or officer or Director of the Transferor Company misapplied or diverted, or retained or become liable or accountable for any money or misappropriations, breach of trust in relation to the Transferor Company under Section 339 and 340 of the

Companies Act, 2013. Further, it has been observed by the OL that the Chartered Accountants are of the opinion that the affairs of the Transferor Company have not been conducted in a manner prejudicial to the interest of its members or creditors or public interest. The OL has not raised any objection.

15. There is no additional requirement for any modification and the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Taking into consideration the above facts, the Company Petitions are allowed and the Scheme of Amalgamation annexed with the Petitions is hereby sanctioned. The Scheme approved shall be binding on the Shareholders, Creditors and employees of the Companies involved in this Scheme. The Appointed date of the Scheme is 01.04.2019.

16. While approving the Scheme as above, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

17. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

18. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of this Order.

19. The Transferor Company shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the concerned Registrar of Companies.

20. Upon receiving the certified copy of this Order, the RoC concerned is directed to place all documents relating to the Transferor Company with that of the Transferee Company and the files relating to the Transferor Company shall be consolidated with the files and records of the Transferee Company.

21. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

22. Accordingly, the Scheme stands sanctioned and CP/499 & 528/CAA/2019 stand disposed of.

-SD-

(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

RAYMOND